Prior Big Four background

Specification	Year FE	+ Client FE	+ Audit firm FE
Audit failure			
Separate regression	-0.018***	-0.015**	-0.008
	(0.004)	(0.006)	(0.008)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0177	0.2271	0.2334
Outcome mean (separate)	0.041	0.041	0.041
Joint regression	-0.017***	-0.013**	-0.007
	(0.004)	(0.006)	(0.008)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0179	0.2272	0.2336
Outcome mean (joint)	0.041	0.041	0.041
Restatement			
Separate regression	-0.011***	-0.006	-0.009
	(0.003)	(0.004)	(0.006)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0158	0.2100	0.2170
Outcome mean (separate)	0.021	0.021	0.021
Joint regression	-0.010***	-0.005	-0.008
	(0.003)	(0.004)	(0.006)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0160	0.2101	0.2172
Outcome mean (joint)	0.021	0.021	0.021
Violation			
Separate regression	-0.011***	-0.010**	0.000
	(0.003)	(0.005)	(0.006)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0086	0.2167	0.2216
Outcome mean (separate)	0.025	0.025	0.025
Joint regression	-0.010***	-0.010**	0.000
	(0.003)	(0.005)	(0.006)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0089	0.2168	0.2216
Outcome mean (joint)	0.025	0.025	0.025

Notes: All specifications use the common sample and client controls plus historical exposure controls. Separate regressions include one background indicator; joint regressions include all six indicators. Education and school thresholds are nested: joint coefficients are incremental contrasts. Category rows use mutually exclusive groups and the reference group stated in the row. Column 3 includes year, client and audit firm fixed effects. Standard errors are clustered by client. Education is measured from the available snapshot; Big Four history excludes the focal client. Outcomes use a three-year disclosure window. *** p<0.01, ** p<0.05, * p<0.1.